Department of Education
SCHOOLS DIVISION OF CITY OF MEYCAUAYAN
Pag-asa St., Malhacan, City of Meycauayan, Bulacan

Senior High School

12

Activity Sheet in

Applied Economics

Quarter 1 – Module 1: Analyze the effects of contemporary economic issues affecting the Filipino entrepreneur (ABM_AE12-Ie-h-8)

Contemporary economic issues affecting the Filipino entrepreneur

LET US KNOW

Pinoy+wins5.jpg (600×445) (bp.blogspot.com)

What can you say about the illustration? Does our country in a peak of health? Why did you say so?

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LET US REVIEW

MULTIPLE CHOICE. Choose the letter of the BEST answer.

1. If a single firm raises its price it will not be able to sell any of its output.

A. Perfect Competition

B. Pure Monopoly
C. Monopolistic Competition
D. Oligopoly

2. Firms in this kind of market produce goods that are very close substitutes.

A. Perfect Competition
B. Pure Monopoly
C. Monopolistic Competition
D. Oligopoly

3. An action by one seller in this market will always affect all the others.

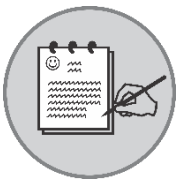
A. Perfect Competition
B. Pure Monopoly
C. Monopolistic Competition
D. Oligopoly

4. Which of the following would be most likely be subject to government monopoly regulations?

A. computer software company
B. large oil company
C. local restaurant
D. local cable company

5. Monopolistic competition is separated from pure competition by

A. collusion
B. profit maximization
C. product differentiation
D. imperfect competition



LET US STUDY

Filipino entrepreneurs, especially the new ones, experience multiple challenges in making their business highly profitable and sustainable. The major problem that these entrepreneurs are facing right is the cash flow management which includes the following:

1. **INVESTMENT AND INTEREST RATES**
   - Investment: A determinant of Income
     Investment is a process of building up capital stock, or the expenditure which determines the income and production in the economy. It also refers to the value of machinery, plants, and buildings that are bought by firms for production process. It is the capital expenditures on the purchase of physical assets such as plant, machinery, and equipment (also known as fixed investment) and stocks (also known as inventory investments)

   - Investment Expenditure
     It means capital spending. It is mainly derived from accumulated savings and other sources external to the circular flow; it does not come from current income and consumption.

Why Investment Essential to the Economy?

- Current business income serves current business needs
- The surplus may not be sufficient to finance even a fraction of investment spending. Instead, a business may borrow the savings of the economy, which households likewise do, e.g. For housing construction.

- Investment therefore, requires that apportion of current consumption be forgone to free up resources which can be used to finance investment.

The level of investment in the economy is sensitive to changes in the prevailing interest rate. In general, if interest rates are high, investment decreases. Conversely, if interest rates are low, investment increases. This inverse correlation is key in understanding the relationship between the interest rate and investment.

2. RENTALS

A property from which the owner receives payment from the occupant(s), known as tenants, in return for occupying or using the property.

In simple words, 'rent' is used as a part of the produce which is paid to the owner of land for the use of his goods and services. But, in economics, rent has been differently defined from time to time. Thus, rent refers only to make payments for factors of production which are in imperfectly elastic supply. For instance, it is the price paid for the use of land.

Definition of Rent:

The concept of rent has been defined as follows:

"Rent is that portion of the produce of earth which is paid to landlord for the use of original and indestructible powers of the soil." -Ricardo

"Rent is the income derived from the ownership of land and other free gifts of Nature." He further called it 'Quasi Rent' which arises on the manmade equipment's and machines in the short period and tend to disappear in the long run. – Marshall

"Rent is the price paid for the use of land." –Prof. Carver

Economic rent is also termed as surplus as it is received by landlord without any effort. Prof. Bounding termed it as "Economic Surplus." Moreover, modern economists comprising of Mrs. Joan Robinson, Boulding etc. opined that part of the income of each factor can be rent.

Income alone received by land cannot be rent. It is so because different factors have different uses. As such, each factor will be used for that purpose in which its income is maximum. Opportunity cost of a factor for its use in the work yielding maximum income is the price of output that the factor concerned can earn by working in next alternative use.

3. WAGES

If several workmen were to be asked: "How much wages do you get?", one would reply, "I get 500 pesos a day", and so on. According to the different branches of industry in which they are employed, they would mention different sums of money that they receive from their respective employers for the completion of a certain task; for example, for weaving a yard of linen, or for setting a page of type. Despite the variety of their statements, they would all agree upon one point: that wages are the amount of money which the capitalist pays for a certain period of work or for a certain amount of work.

Determinants of Market Wage Rates

- A basic principle of economics is the notion that the price of value of goods, services, and even resources, such as labor, is determined by the behavior of demand and supply
- Labor Demand

The demand for labor is similar to the demand for a good, and thus generally follows the law of demand.

- Labor Supply
  It follows the principle of the law of supply, which says that if the price of labor increases, then the supply of labor also increases, and vice versa.
  As wage increases, more people will enter the labor market and compete for higher-paying jobs. But wages decline, there will be fewer people looking for jobs and competing for these lower wages.

4. TAXES
   Taxes are involuntary fees levied on individuals or corporations and enforced by a government entity—whether local, regional or national—in order to finance government activities. In economics, taxes fall on whomever pays the burden of the tax, whether this is the entity being taxed, such as a business, or the end consumers of the business's goods. Tax systems vary widely among nations, and it is important for individuals and corporations to carefully study a new locale's tax laws before earning income or doing business there.

   There are several very common types of taxes:

- Income Tax—a percentage of individual earnings filed to the federal government
- Corporate Tax—a percentage of corporate profits taken as tax by the government to fund federal programs.
- Sales Tax—taxes levied on certain goods and services
- Property Tax—based on the value of land and property assets
- Tariff—taxes on imported goods imposed in the aim of strengthening internal businesses
- Estate tax—rate applied to the fair market value of property in a person's estate at the time of death

With a high investment/capital, one hopes that the return of investment comes within the year of starting the business. This is not always the case. With inflation and higher prices of goods and rentals, an entrepreneur needs to set a realistic time frame for his/her business to gain profit. If things are done in a hasty manner, it is almost a sure sign that a business will fail. Before setting everything up, one must have already made an accurate computation of cash outflow (e.g. rental, employees' salary, utilities, etc) and how much markup they have to put on every product they sell to cover the expenses and eventually gain them some profit.

LET US PRACTICE (Written Works)

TRUE OR FALSE. Write T if the statement is correct and F if it is incorrect.

_____1. Investment is the product that people buy with the hope they will be beneficial or will generate income in the future.

_____2. it is considered outflows for the government and inflows for firms.

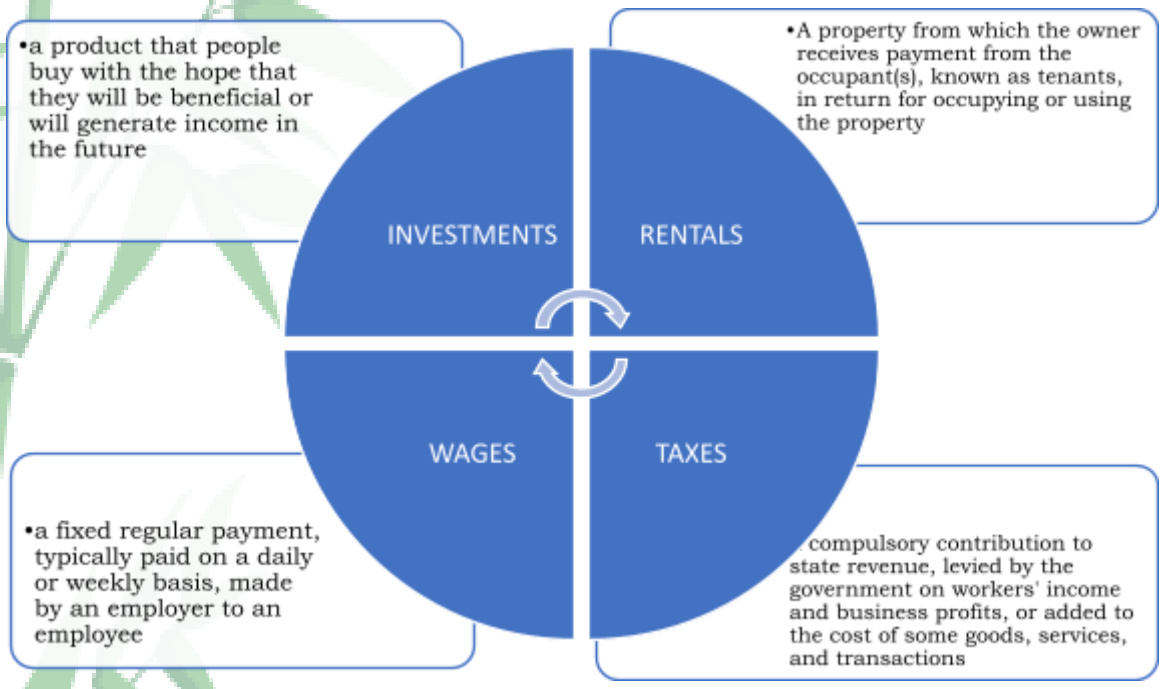
_____3. Increasing minimum wage to improve lives of ordinary households but in reality, it brings unemployment that results in surplus of laborers.

_____4. Inflation does not affect the amount of profit that an entrepreneur gain.

_____5. Tax systems are the same among nations.

LET US REMEMBER

CONTEMPORARY ISSUES FACING THE FILIPINO ENTREPRENEUR



LET US APPRECIATE (Written Works)

One of the problems that an entrepreneur is facing right now is how to manage the business cashflow. How will you ensure that for every cent you spend, the factors of production are not being sacrificed?

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LET US PRACTICE MORE (Performance Task)

Given the following challenges, as an entrepreneur, how will give solution to each challenge?

1.Capital

The challenge:

You want to start or grow your business, but you have little capital to do it with.

Solution:_____
_____
_____
_____
_____

2. Labor Union

The challenge:

An organization of laborers is discontented of the management provided by your company.

Solution:_____
_____
_____
_____

EVALUATION (Performance Task)

MATCHING TYPE
Analyze the given problems in COLUMN A and identify in which problem does it fall in COLUMN B.

COLUMN A

1. Low benefits and overworked workers
2. It suffers from wear and tear
3. Natural and mad-made calamities that ruins infrastructure.
4. Implementation of TRAIN law.
5. Low savings

COLUMN B

A. Investments
B. Wages
C. Rentals
D. Taxes

http://curriculumproject.org/wp-content/uploads/economics_module_teacher.pdf

LESSON 6 Contemporary Issues Facing The Filipino Entrepreneur by Angelikajoyce Lentija (prezi.com)

Taxes Definition (investopedia.com)

The Top 10 Challenges Faced by Entrepreneurs Today - Deluxe

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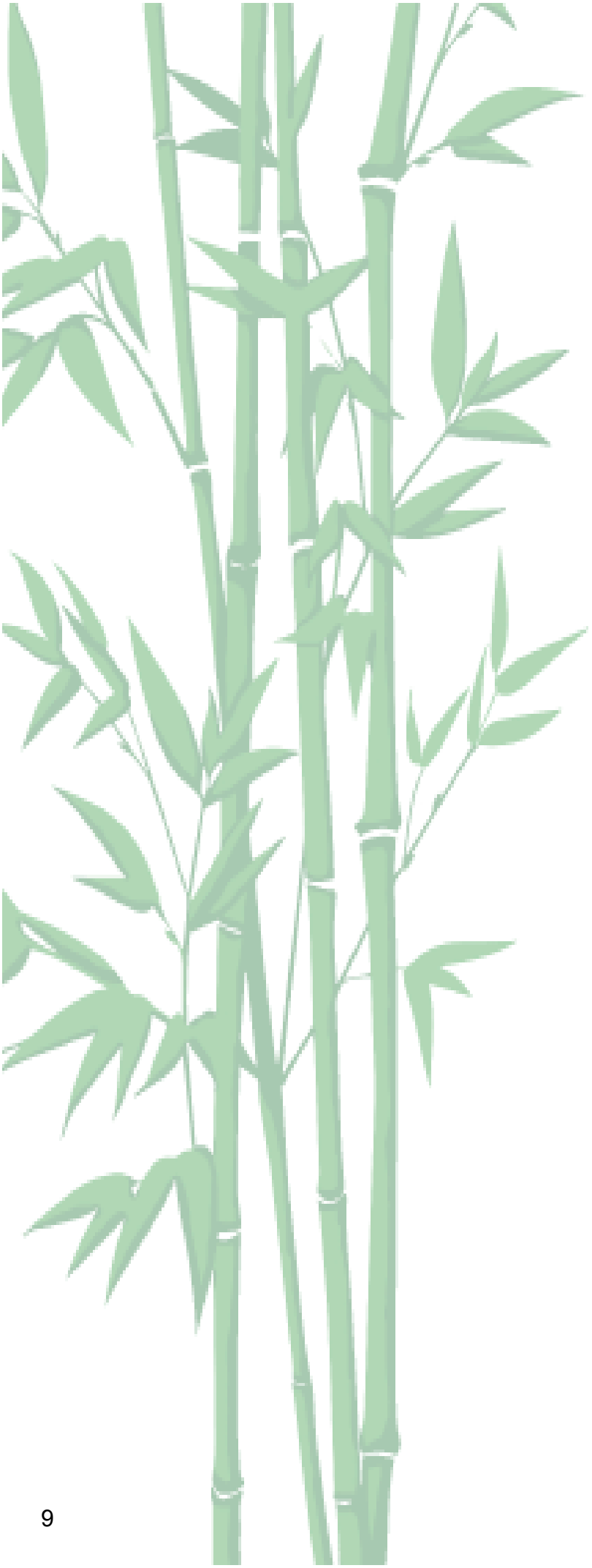
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